

**Time:** 5 minutes**Outcome:** Analyze repeated games, credible commitments, entry deterrence, and sequential strategic choices.**Difficulty:** ●●● Advanced

Dynamic Strategy: Repeated Games, Credibility & Entry Deterrence



THE CORE IDEA

Dynamic Strategy: Repeated Games, Credibility & Entry Deterrence examines repeated interaction, credibility, commitments, limit pricing, entry deterrence, continuation incentives, and sequential strategic reasoning. A higher continuation factor increases the weight on future consequences. Cooperation PV is 12.50; cheating path PV is 16.25. Net gain = $25 - 8 - 14 = 3$ million. Aggressive competition and predation must be distinguished with evidence.



HOW TO RECOGNIZE IT

- Determine whether firms interact once or expect to meet again.
- Compare the immediate gain from cheating or entering with future losses from retaliation.
- A threat affects behavior only when carrying it out would be credible.
- Longer relationships, patience, and observable actions make cooperative outcomes easier to sustain.



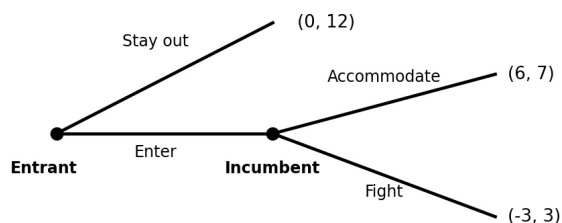
WATCH OUT

Do not assume every low price is predatory. Net gain = $25 - 8 - 14 = 3$ million. Aggressive competition and predation must be distinguished with evidence.



WORKED EXAMPLE: TESTING A CREDIBLE THREAT

Payoff order: (Entrant, Incumbent)



The game tree is solved backward. If entry occurs, the incumbent receives 7 by accommodating and 3 by fighting, so accommodation is the credible response on that branch. Anticipating it, the entrant compares 6 from entering with 0 from staying out and enters. The subgame-perfect outcome is Enter, then Accommodate.



CHECK YOURSELF

Does low pricing prove predation?

**READY?****Return to the game and master this concept.**